

A better FIT

The Reserve Bank of India (RBI) recently issued a discussion paper on whether the terms and conditions of 'flexible inflation targeting' (FIT) require a review. **FIT**, which began in 2016, **comes up** for a five-year extension in March 2026. The paper supports continuing with the point target of 4 per cent, but **subtly** favours reducing the range to 1.5 percentage points on either side from the present two percentage points. There is **arguably room** for raising the point target a bit. A higher target can **take into account** the **outsized** role of food prices in **headline inflation** in times of climate **disruption**.

The paper **examines** four **broad** questions, besides **assessing** the performance of FIT over nine years. These are: whether **core inflation** (non-food and non-fuel) should replace headline inflation as the target; the 4 per cent target should be **persisted** with; the tolerance band should be reduced; and a range should replace the point target. The paper is quite right in arguing that **headline inflation** (food and fuel inflation component exceeding 50 per cent) **should** remain the **metric** to **reflect** the common man's experience. According to the Household Consumption Expenditure Survey (which **points to** a falling share of food consumption over time), **90 per cent** of the lowest **fractile** rural households and 50 per cent of the lowest fractile urban households **spend** over half of their budget on food and fuel. Measuring food inflation becomes important, as food **spills over** to core inflation through costs and expectations. However, food **weights** should be adjusted periodically to reflect changing consumer **preferences**. The paper **wryly** observes that **of the 48 countries** practising FIT only Uganda **has** chosen to target core inflation. There may be a case for reducing the tolerance band by 0.5 percentage points on either side, **provided** the **volatility** and 'noise' in the food **constituents** of the **retail price index** is **minimised**. A narrower band would **hold monetary** authorities more **to account**.

The 4 per cent target seems to be the trend rate over nine years of FIT, besides being one that can be **deduced** through the Balassa-Samuelson effect – the sum of the inflation target of 2 per cent for advanced economies and a productivity differential between advanced and **emerging economies**. Out of 35 quarters, headline inflation was in the 2-4 per cent range in 11, 4-6 per cent in 14 and above six in nine, **converging** to an average rate of about 4 per cent. Covid and Russia-Ukraine shocks played a role in the **deviations**.

If shocks are **the new normal**, should the target rate be shifted a **tad** upwards to reflect the reality? **The real economy assumptions** underlying the current set of metrics, put in place in 2016, **have** changed. The paper does not raise the issue of what the real rate of interest should be – a key factor in arriving at an inflation target. Savings, capital stock, **current account deficit**, **fiscal deficit** and other real economy conditions must be considered in arriving at the new set of metrics. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

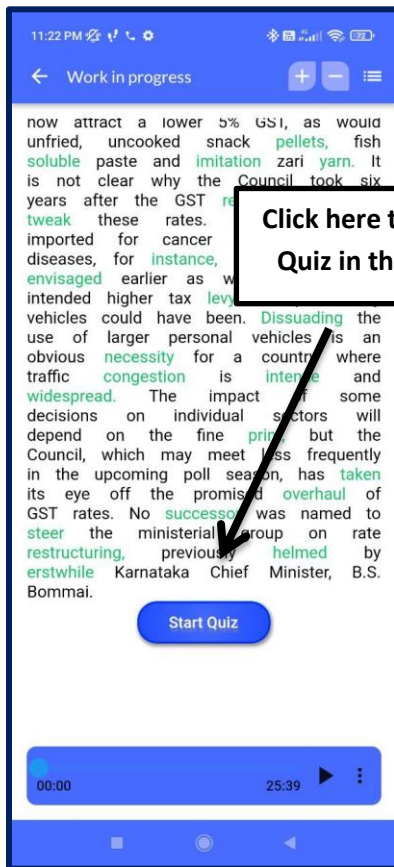
1. **Flexible inflation targeting** (FIT) (noun) – It is a central banking policy that revolves around adjusting monetary policy to achieve a specified annual rate of inflation.
2. **Subtly** (adverb) – delicately, unobtrusively, implicitly, faintly, understatedly सूक्ष्म रूप से
3. **Arguably** (adverb) – plausibly, defensibly, debatably, conceivably, tenably तर्कसंगत रूप से
4. **Room** (noun) – scope, leeway, latitude, space, margin गुंजाइश
5. **Take into account** (phrase) – consider, factor in, reckon with, allow for, bear in mind ध्यान में रखना
6. **Outsized** (adjective) – disproportionate, inordinate, excessive, undue, oversized असामान्य रूप से बड़ा
7. **Headline inflation** (noun) – the total inflation rate within an economy, encompassing the change in prices of all goods and services.
8. **Disruption** (noun) – disturbance, upheaval, dislocation, turbulence, shock व्यवधान
9. **Examine** (verb) – analyze, scrutinize, study, probe, evaluate जाँच करना
10. **Broad** (adjective) – wide, expansive, sweeping, comprehensive, overarching व्यापक
11. **Assess** (verb) – appraise, evaluate, gauge, estimate, judge आकलन करना
12. **Core inflation** (noun) – the rate at which prices are rising in the economy, excluding sharply fluctuating items like food and energy.
13. **Persist** (verb) – continue, endure, remain, keep on, stick बना रहना
14. **Metric** (noun) – measure, indicator, yardstick, benchmark, parameter मापदंड
15. **Reflect** (verb) – mirror, represent, indicate, capture, show प्रतिबिंबित करना
16. **Point to** (phrasal verb) – indicate, suggest, signal, hint at, evidence संकेत करना
17. **Fractile** (noun) – a point in a dataset that divides it into equal proportions, similar to a percentile or quartile प्रतिशतक वर्ग
18. **Spill over** (phrasal verb) – transmit, bleed into, percolate, diffuse into, carry over फैलकर असर डालना
19. **Weight** (noun) – a factor associated with one of a set of numerical quantities, used to represent its importance relative to the other members of the set.

20. **Preference** (noun) – choice, liking, inclination, taste, priority वरीयता
21. **Wryly** (adverb) – drily, sardonically, ironically, wittily, ruefully व्यंग्यपूर्ण ढंग से
22. **Provided** (conjunction) – if, on condition that, assuming, so long as, contingent on बशर्ते कि
23. **Volatility** (noun) – fluctuation, instability, variability, choppiness, swings अस्थिरता
24. **Constituent** (noun) – component, element, ingredient, part, sub-index घटक
25. **Retail price index** (noun) – A measure of changes in prices of a basket of goods and services consumed by an average household.
26. **Minimise** (verb) – reduce, curtail, lessen, dampen, mitigate कम करना
27. **Hold someone to account** (phrase) – make answerable, demand accountability, call to account, hold responsible, keep to task जवाबदेह ठहराना
28. **Monetary** (adjective) – financial, pecuniary, currency-related, money-based, central-bank मौद्रिक
29. **Deduce** (verb) – infer, derive, conclude, reason out, extrapolate निष्कर्ष निकालना
30. **Emerging** (adjective) – developing, rising, nascent, up-and-coming, growth-stage उभरती
31. **Economies** (noun) – Countries in terms of GDP अर्थव्यवस्थाएँ
32. **Converge** (verb) – come together, align, coalesce, gravitate, tend toward मिलना
33. **Deviation** (noun) – departure, divergence, variance, aberration, drift विचलन
34. **The new normal** (noun) – settled reality, prevailing condition, steady state, status quo, baseline नया मानक हालात
35. **Tad** (noun) – bit, smidge, touch, shade, hair थोड़ा
36. **The real economy** (noun) – the part of an economy that produces actual goods and services, such as agriculture, manufacturing, and retail, as opposed to the financial economy, which focuses on monetary and financial transactions.
37. **Underlie** (verb) – underpin, undergird, form the basis of, inform, ground आधार बनना
38. **Current account deficit** (noun) – It occurs when the total value of goods and services a country imports exceeds the total value of goods and services it exports.
39. **Fiscal deficit** (noun) – the total amount by which a government's expenditure exceeds its income (revenue) in a financial year, excluding money it obtains through borrowing राजकोषीय घाटा

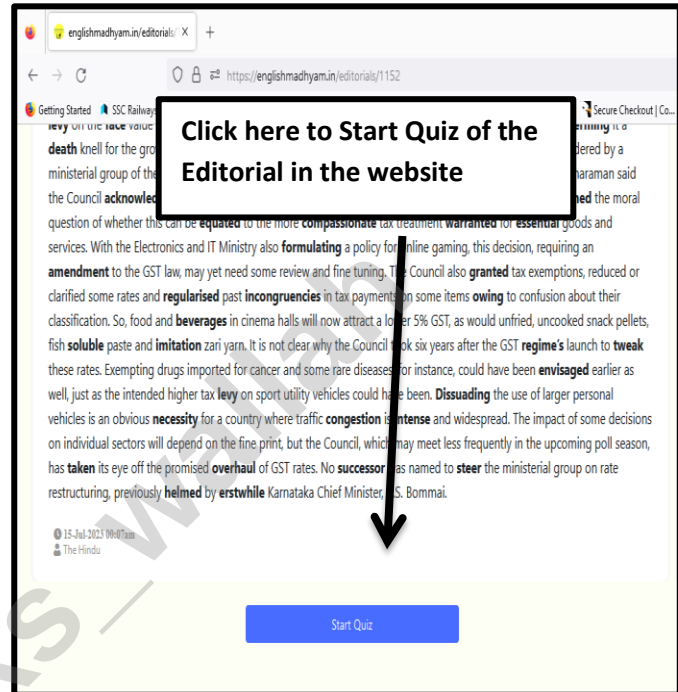
Summary of the Editorial

1. The RBI has released a discussion paper on reviewing the framework of **Flexible Inflation Targeting (FIT)**, introduced in 2016.
 - a. The current FIT framework is due for a five-year extension in **March 2026**.
 - b. The paper supports **retaining the 4% point target** for inflation.
 - c. It suggests **narrowing the tolerance band** from the current $\pm 2\%$ to $\pm 1.5\%$.
 - d. Some economists argue for a **slightly higher inflation target** to reflect food price volatility caused by climate disruptions.
2. The paper evaluates four key issues:
3. Whether **core inflation** should replace headline inflation.
4. Whether the **4% target** should continue.
5. Whether the **tolerance band** should be reduced.
6. Whether a **range target** should replace the point target.
7. RBI maintains that **headline inflation** (including food and fuel) should remain the measure, as it better reflects the common man's cost of living.
8. The **Household Consumption Expenditure Survey** shows that poor households still spend **over half their income on food and fuel**, making food inflation critical.
9. Food inflation also influences **core inflation** indirectly through costs and expectations.
10. The paper notes that out of **48 countries** practising FIT, only **Uganda** targets core inflation.
11. A reduced tolerance band could make the **RBI more accountable**, but requires limiting food-price volatility in indices.
12. Over nine years, average inflation has **converged to around 4%**, despite deviations due to **Covid-19 and the Russia-Ukraine war**.
13. The 4% target is also supported by the **Balassa-Samuelson effect**, combining advanced economies' 2% target with emerging economies' productivity gap.
14. The paper questions whether, in an era of frequent shocks, the **target should be raised slightly upwards** to match reality.
15. It highlights that arriving at a new framework requires considering broader **real economy factors** – such as savings, capital stock, fiscal deficit, and the real interest rate.

Practice Exercise: Banking Pattern Based



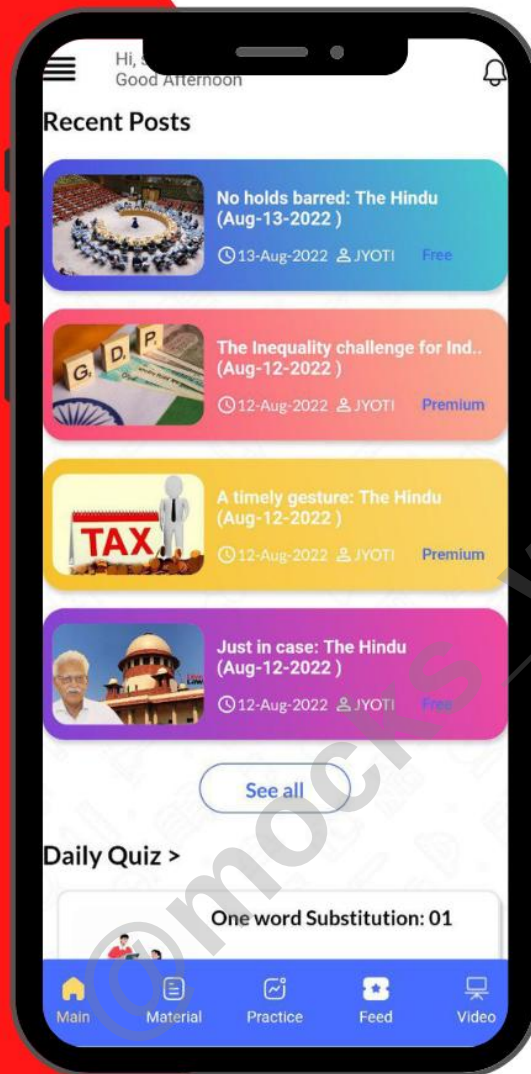
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